IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V
(Division Bench)

Item No.-202
CP (CAA) No. 105/230/232/PB/2019(2nd Motion)

IN THE MATTER OF:
Landcraft Developers Pvt. Ltd. With Champion Infraprojects Pvt. Ltd. **....Applicant**

SECTION
U/s 230-232 **Order delivered on 10.11.2023**

CORAM:
SHRI MAHENDRA KHANDELWAL,
HON'BLE MEMBER (JUDICIAL)

SHRI RAHUL BHATNAGAR,
HON'BLE MEMBER (TECHNICAL)

PRESENT:
For the Applicant :
For the Respondent :

ORDER

Order pronounced in open court vide separate sheets. CP (CAA) No. 105/230/232/PB/2019 (2nd Motion) is **allowed.**

Sd/-
(RAHUL BHATNAGAR)
MEMBER (T)

Sd/-
(MAHENDRA KHANDELWAL)
MEMBER (J)

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI
BENCH – V

COMPANY PETITION (CAA) NO. – 105/(PB)/2019
WITH
COMPANY APPLICATION NO. CA(CAA) 15/(PB)/2019

Under Section 230-232 and other applicable provisions of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016)

IN THE MATTER OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

LANDRCRAFT DEVELOPERS PRIVATE LIMITED

...PETITIONER COMPANY/TRANSFEREE COMPANY

AND

CHAMPION INFRAPROJECTS PRIVATE LIMITED

...NON- PETITIONER COMPANY/ TRANSFEROR COMPANY

Order Delivered On: 10.11.2023

CORAM:

SHRI MAHENDRA KHANDELWAL, HON'BLE MEMBER (JUDICIAL)
SHRI RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Abhishek Seth & Ms. Devika Chopra, Advs.

For the Respondent : Adv Nakul Jain, Adv Karan Khaitan

For the IT Department : Mr. Sunil Aggarwal, Sr St Counsel, Mr. Tushar Gupta, Jr St Counsel, Mr. Parinay Gupta, Advs.

For the RD : Adv. Shankari Mishra

For the OL : Ms. Hemlata Rawat, Mr. Aayushmaan Vatsyayana

ORDER

PER: MAHENDRA KHANDELWAL, MEMBER (JUDICIAL)

1. The present Joint Petition is filed by the Petitioner Company herein, **Landcraft Developers Private Limited** (Petitioner Company/Transferee Company) and Non-Petitioner Company herein, **Champion Infraprojects Private Limited** (Non-Petitioner Company/Transferor Company) under Section 230-232 of the Companies Act, 2013 read with Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation between the Transferor Company and the Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred to as the "Scheme"), has been placed on record.

2. The Transferor Company/Non-Petitioner Company i.e., M/s Champion Infraprojects Private Limited is a private limited company incorporated on 25.10.2010 under the provisions of the Companies Act, 1956 vide CIN: U70102UP2010PTC042364, having its registered office at t C-22, 3rd Floor, RDC, Raj Nagar, Ghaziabad, Uttar Pradesh-201002, India. Thus, the registered office of the Transferor Company is not under the jurisdiction of this Tribunal. The authorized share capital of the Transferor Company/Non-Petitioner Company is Rs. 1,00,000/- divided into 10,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Transferor Company is Rs. 1,00,000/- divided into 10,000 equity shares of Rs. 10/- each. Since the registered office of the Non-Applicant Company is not under the domain of Registrar of Companies, NCT of New Delhi & Haryana and therefore, not within the territorial jurisdiction of this Tribunal.

3. The Transferee Company/ Petitioner Company i.e., M/s Landcraft Developers Private Limited is a private limited company incorporated on 14.01.2005 under the provisions of the Companies Act, 1956 vide CIN: U45201DL2005PTC132131, having its registered office at Parmesh Corporate Towers, 309, 3rd Floor, Plot no. 13, Karkardooma, Community Centre, Delhi-110 092, India. Thus, the registered office of the Transferee Company is under the jurisdiction of this Tribunal. The authorised share capital of the Transferee Company/ Petitioner Company is Rs. 70,00,00,000/- divided into 6,01,00,000 equity shares of Rs. 10/- each (i.e., INR 60,10,00,000) and 99,00,000 redeemable preference shares of Rs. 10/- each (i.e., INR 9,90,00,000). The present issued, subscribed and paid-up capital of the Transferee Company is Rs. 19,06,82,380 divided into 1,90,68,238 equity shares of Rs. 10/- each fully paid-up. the registered office of the Applicant Company is under the domain of Registrar of Companies, NCT of New Delhi & Haryana and therefore within the territorial jurisdiction of this Tribunal.

4. The Petitioner Company submit that the proposed scheme of amalgamation of the Transferor Company and Transferee Company would have the following benefits: -

   This Scheme envisages amalgamation of Champion Infraprojects Private Limited, a wholly owned subsidiary, with and into its holding company, Landcraft Developers Private Limited, resulting in consolidation of similar businesses, simplification of shareholding structure thereby strengthening position of Transferee Company. It is intended that Transferee Company shall have sharper focus on underlying businesses with an aim of achieving operational efficiencies, stronger financials and growth prospects for the people and organization connected therewith. Accordingly, consolidation of businesses of the said companies would be in their best interests as well as their respective shareholders and other stakeholders. The proposed amalgamations envisaged under this Scheme are in line with the current global industry practice to achieve size, scalability, integration, greater financial strength and flexibility thereby maximizing shareholder value and to

achieve higher long-terms financial returns. The other benefits likely to arise through the proposed arrangement are as follows:

i) Optimum and efficient utilization of capital, resources, assets and facilities;
ii) Enhancement of competitive strengths including financial resources;
iii) Consolidation of businesses and enhancement of economic value addition and shareholder value;
iv) Obtaining synergy benefits;
v) Better management and focus on growing the businesses.
vi) The amalgamation would result in reduction of overheads, administrative, managerial and other expenditure and bring about operational rationalization, efficiency and optimum utilization of various resources.
vii) A larger growing company will mean enhanced financial and growth prospects for the people and organization connected therewith, and will be in public interest. The amalgamation will conducive for better and more efficient and economical control over the business and financial conduct of the Companies.

5. The appointed date as fixed for the proposed scheme of Amalgamation is 01.04.2018 or such other date as may be approved by this Tribunal.

6. From the record, it is seen that the First Motion joint application was filed before this Tribunal vide CA(CAA)15/PB/2019 and Vide order dated 09.04.2019, the meeting of the Equity Shareholders and Secured Creditors of the Transferee Company was dispensed with. With respect to the Unsecured Creditors of the Transferee Company, this Tribunal vide order dated 09.04.2019, directed to convene the meeting of the Unsecured Creditors of the Transferee Company. The chairperson filed its report dated 06.06.2019, wherein, it was stated that the meeting of the Unsecured Creditors of the Transferee Company was held on 01.06.2019 at 11:00 A.M. (IST) and the

scheme was unanimously approved by the Unsecured Creditors of the Transferee Company. The same is placed on record.

7. This Tribunal, vide its order dated 09.04.2019, directed the Petitioner Company to issue individual notices to the (i) Regional Director, Northern Region of Ministry of Corporate Affairs, (ii) Income Tax Department, (iii) Registrar of Companies, NCT of Delhi and Haryana and (iv) Official Liquidator.

8. The Petitioner Company, vide order dated 09.04.2019, were also directed to carry out publication in the newspapers. It is seen from the records that the petitioner company have filed an Affidavit dated 10.05.2019, affirming compliance and disclosing that the applicant have effected publication in "Business Standard" (English Language, Delhi Edition) as well as "Jansatta" (Hindi Language, Delhi Edition), both dated on 30.04.2019. In addition to the public notice, notices were served on the Regional Director (Northern Region), Official Liquidator, the Income Tax Department and Registrar of Companies, NCT of Delhi and Haryana.

9. Pursuant to the notice issued to the Regional Director, Official Liquidator and the Income Tax Department, the Regional Director and the Official Liquidator have filed their response/reply in the matter.

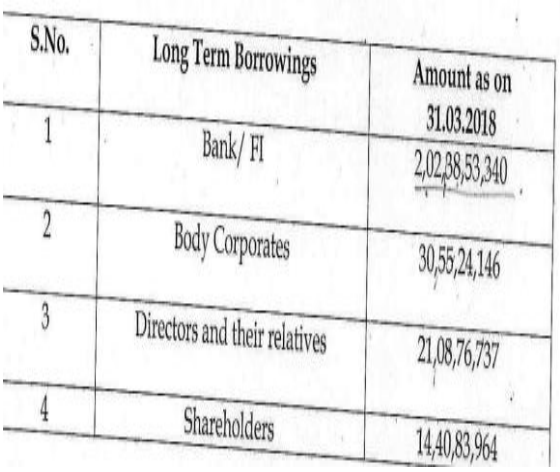
10. The Regional Director (RD) in its report dated 19.10.2020 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Company vide his Letter dated 23.07.2020 and in response to the same, the Petitioner Company had filed their reply dated 27.07.2020, wherein the Petitioner Company gave clarification and undertaking to address the observations made by the Regional Director. The details of the same are summarised below:

S. No.	Observation of the Regional Director vide Letter dated 23.07.2020	Reply dated 27.07.2020 of the Petitioner Company
a)	The Board of Directors of Transferee Company initially proposed the Scheme under Section 233 of the Act through Fast Track Merger. However, in terms of the provisions 233(1)(d)	The Board of Directors of both the Companies in its Board Meeting dated May 21, 2018 proposed the Scheme of Arrangement for Amalgamation of

	of the Act, the company reportedly could not obtain NOC from its unsecured creditors, who had booked their flat in the upcoming residential housing scheme of the said company. Therefore, it had withdrawn the Scheme under section 233 and considered its approval under Section 230-232 of the Act. Thereafter, pursuant to the directions of the Hon'ble Tribunal, the meeting of its unsecured creditors was convened and held on 01.06.2019 wherein the requisite quorum was not present at the given time and the meeting was adjourned for half an hour.	Landcraft Developers Private Limited (Transferee Company) and Champion Infraprojects Private Limited (Transferor Company) in accordance with the process laid down under section 233 (i.e. Fast Track Merger) of the Companies Act, 2013. The Company also approached the office of Registrar of Companies and Official Liquidator, Ministry of Corporate Affairs and obtain first level approval. It may be noted that the Company applied to its Creditors for No Objection, however, it failed to obtain No Objection from its Unsecured Creditors and accordingly the Board of both the Companies in there Board Meeting on 8th August, 2018 decided to file the Scheme of Arrangement for amalgamation of Landcraft Developers Private Limited and Champion Infraprojects Private Limited in accordance with Section 230- 232 of the Companies Act, 2013. In accordance with Section 230-232 of the Companies Act, 2013, the Transferee Company in Company Petition No. CA (CAA) -15(PB)/2019, pleaded for dispensation of the meetings of Equity Shareholders and Secured Creditors of the Company on the ground of No Objections received from the Equity Shareholders and Secured Creditors in affidavit. Further, the Transferee Company sought for the direction of NCLT with respect to convening the Meeting of Unsecured Creditors. Further, the Hon'ble NCLT vide its order dated 9th April, 2019 dispensed with the requirement of convening the meeting of Equity Shareholders and Secured Creditors and gave necessary direction for convening the meeting of Unsecured Creditors on June 1, 2019. In accordance with the direction of Hon'ble NCLT, the meeting was convened on June 1, 2019 and was approved by the Unsecured Creditors of the Company. The Chairperson Appointed for the meeting has duly filed its report with Hon'ble NCLT The copy of the order of Hon'ble NCLT dated April 9, 2019 and Chairperson Report is attached herewith as Annexure 1.
b)	It has been observed from Annexure-10 to the petition that as at 21.05.2018, the Transferee Company has 94 shareholders, out of which 21 shareholders are body corporates. The Transferee Company has submitted before the	The Company in accordance with the requirement of Section 230-232 of the Companies Act, 2013 had requested its shareholders (including Corporate Shareholders) for their No Objection in

	Hon'ble Tribunal and majority of its shareholders have given their consent/no objection to the proposed Scheme of Amalgamation and accordingly, the company has enclosed copies of affidavits of their authorised representative along with Board Resolution thereon. The corresponding documents viz (MGT-7) filed by respective body corporates on MCA-21 Portal reveal that no such Resolution was passed by the Board of the following shareholder companies which raised serious doubts over the authenticity of their affidavit: **Name of Shareholder company** / **As per Affidavit Board Resolution passed on** Raffle Mercantile Private Limited — 01.10.2018 AKS Infrastructure Private Limited — 15.09.2018 Naini Plastic Private Limited — 15.08.2018 Correo Marketings Private Limited — 15.09.2018 Knap Data Products Private Limited — 16.08.2018 L.S. Computers Private Limited — 22.08.2018 Sunrise Portfolio Private Limited — 24.08.2018 Anandeshwar Trademart Private Limited — 15.10.2018 Runjhun Trademart Private Limited — 15.10.2018 Dhiraj Electricals Private Limited — 31.10.2018 Maa Shakumbri Real Estate Limited — 31.10.2018	Affidavit. All the shareholders of the Company had given there No Objection to the Scheme of Amalgamation. Further, all the Corporate Shareholders of the Company had got the approval of the Board of Directors in their respective Board Meetings and the copy of the Board Resolution has already been provided along with the Company Application CA(CAA) No. 15/(PB)/2019. The copy of No Objection received from the Corporate Shareholders along with Board Resolutions is attached herewith as Annexure 2. In your query (b), we understand that certain Corporate Shareholders in the MGT 7, have not mentioned the date of Board Meeting wherein the Board of the respective shareholders has approved the Scheme of Amalgamation of Transferor Company with and into Transferee Company **Sr. No.** / **Name of the Corporate Shareholder** / **As per affidavit Board Resolution passed on** 1. Raffle Mercantile Private Limited — 01.10.2018 2. AKS Infrastructure Private Limited — 15.09.2018 3. Naini Plastic Private Limited — 15.08.2018 4. Correo Marketing Private Limited — 15.09.2018 5. Knap Data Products Private Limited — 16.08.2018 6. L.S. Computers Private Limited — 22.08.2018 7. Sunrise Portfolio Private Limited — 24.08.2018 8. Anandeshwar Trademart Private Limited — 15.10.2018 9. Runjhun Trademart Private Limited — 15.10.2018 10. Dhiraj Electricals Private Limited — 31.10.2018 11. Maa Shakumbari Real Estate Limited — 31.10.2018 Herein we would like to state that, we have sought clarification from aforesaid Corporate Shareholder Companies, wherein we are given to understand that all the aforesaid 11 (eleven) Companies, namely, Anandeshwar Trademart Private Limited, Knap Data Products Private Limited, L.S. Computers Private Limited, Naini Plastic Private Limited, Raffle Mercantile Private Limited, Runjhun Trademart Private Limited Sunrise Portfolio Private Limited, Dhiraj Electricals Private Limited, AKS Infrastructure Private Limited, Correo Marketing Private Limited and Maa Shakumbari Real Estate Limited have filed revised MGT 7, post inclusion of the date of Board Meeting approving the Scheme of Arrangement for Amalgamation of Transferor Company with the Transferee

		Company. The Copy of the revised MGT 7 for these 11 Companies are attached as Annexure 3. We would also like to state that inadvertently abovesaid corporate shareholders missed to mention the date of the Board Meeting in the MGT 7 filed with MCA which now stands rectified. Further, the aforesaid Non-Compliance had taken place in the Shareholders Companies over which the Transferor Company or the Transferee Company has no control. We reiterate that the Transferor Company and Transferee Company are law compliant companies and have ensured compliance of each law applicable to them under various statutes.
c)	Refer to Certificate dated 12.06.2018 issued by M/s. Mohit P. Jain & Associates, Chartered Accountants, as on 21.05.2018, the Transferee Company has secured creditors of Rs. 101.03 crores. However, as per the financial statement as at 31.03.2018 filed by the said company on MCA-21 Portal, as on 31.03.2018, it had outstanding secured borrowings of Rs. 202.10 crores. Therefore, the variation in the amount of outstanding secured creditors may be clarified by the company as no such e-forms CHG-4 regarding satisfaction of charge has been filed by the company during the period between 01.04.2018 to 21.05.2018.	In respect to query (c), we would like to state that Mohit P Jain & Associates, Chartered Accountants, in its Certificate dated 12.06.2018 have inadvertently written Secured Creditors instead of Unsecured Creditors. "This Certificate is for the Unsecured Creditors and Annexure 1 along with the said Certificate provides for List of Unsecured Creditors totaling an amount of INR 101.03 Cr. It may be noted that Mohit P Jain & Associates, Chartered Accountants have issued another Certificate dated 12.06.2018 certifying the List of Secured Creditors of the Company as on 21.05.2018 certifying the outstanding amount of Secured Creditors as INR 199.29 Cr. Further, Mohit P Jain & Associates, Chartered Accountants has issued another Certificate dated 19.02.2020 certifying the list of Unsecured Creditors as on 21.05.2018. The copy of the Certificate along with its Annexure received from Mohit P Jain & Associates, Chartered Accountants is attached as Annexure 4.
d)	The copy of Provisional Balance Sheet as at 30.09.2018 of the Transferor Company enclosed to the said petition reflects that during the financial year ended on 31.03.2018, it has not done any business activity and holding land of Rs. 7.99 crores as fixed assets. The subsequent year's Balance Sheet (financial statement) as at 31.03.2019 filed by Transferee Company on MCA-21 Portal reported purchase of land of Rs. 7.99	In respect to query (d), we would like to state that, the Transferor Company has sold land of INR 7.99 Cr to the Transferee Company. It may be noted that the said sale of land was the Fixed Asset to the Transferor Company and hence the sale of such assets is not routed through the profit and loss statement. We would like to state that the Company has purchased an Inventory of INR 2.42 Cr.

	crores from Transferor Company. However, the corresponding statement of profit & loss to the financial statement as at 31.03.2019 of the Transferor Company does not disclosed any resultant revenue. The Company may clarify the above aspect.	for which an amount of INR 2.23 Cr. needs to be paid and the same has been reflected in the liability side of the Balance Sheet under the head Creditors. We would like to clarify that Creditors would be generated for Company from the purchase i.e. expenses and is not linked to turnover i.e. revenue. We would like to state that the Company has obtained the long-term borrowings from Bank/Financial Institutions (FI), Body Corporates, Directors and their relatives and Shareholders. The break up of long-term borrowings is as under-  It is herein clarified that loan taken from Bank/ Financial Institutions and other Company is not considered as Deposit in accordance with Clause (c) of Rule 2 of Companies (Acceptance of Deposit) Rules, 2014. It is further clarified that the Company has obtained the borrowing from its Director and their relatives in accordance with Clause (c) of Rule 2 of Companies (Acceptance of Deposit) Rules, 2014. Moreover, in accordance with the applicable laws the borrowings obtained from the shareholder is not exceeding one hundred per cent of aggregate of the paid-up share capital, free reserves and securities premium account and the company has filed the details of monies so accepted to the Registrar in Form DPT-3. In the aforesaid manner the Company has ensured compliance of the applicable provisions of Section 73 of the Companies

S.No.	Long Term Borrowings	Amount as on 31.03.2018
1	Bank/ FI	2,02,38,53,340
2	Body Corporates	30,55,24,146
3	Directors and their relatives	21,08,76,737
4	Shareholders	14,40,83,964

		Act, 2013 read with Companies (Acceptance of Deposit) Rules, 2014.
	Observation of the Regional Director in Para 9 of the report dated 19.10.2020, after reply of the Petitioner Company. (i) The Petitioner Company has filed No Objection Certificates from the Secured Creditors and members of the Company for dispensing the meeting of shareholders and secured creditors which was considered by the Hon'ble Tribunal and vide order dated 09.04.2019 passed by the Hon'ble Tribunal has allowed dispensation of the meeting of shareholders and secured creditors. However, the Hon'ble Tribunal has ordered to convene the meeting of the unsecured creditors and it is evident from the reply of the transferee company that the said meeting was convened on 01.06.2019 under the chairmanship of Sh. Indrajeet Singh, Advocate. In the Chairman's report of a meeting of unsecured creditors it is stated that there are 137 number of unsecured creditors representing unsecured debts amounting to Rs. 69,24,50,673/- were present in the meeting and all of them have voted in favour of the proposed scheme. To a query regarding the details of secured and unsecured creditors of the Transferee Company, the Transferee Company has enclosed the list of secured and unsecured creditors with the petition certified by CA Mohit Jain. Partner of M/s Mohit P. Jain & Associates, Chartered Accountants, Ghaziabad, Uttar Pradesh. In this regard, the Petitioner Company vide their reply dated 14.08.2020 has also intimated that the certificate dated 12.06.2018 issued by the Chartered Accountant has certain inadvertent errors i.e. instead of Unsecured Creditors, they have certified and stated as Secured Creditors. The Petitioner Company also enclosed a list of unsecured creditors as on 21.05.2018 certified by the said Chartered Accountant namely CA Mohit Jain showing it as Rs. 1,01.03.46.583/ constitutes 1228 number of unsecured creditors. On examination of the list of unsecured creditors, it is found that there are 1228 number of unsecured creditors and of value Rs. 3,29,21,35,332/- from the above the Company has deducted Rs. 2,28,17.88,749/- as "SALES RECOGNIZED FROM ADVANCE FROM CUSTOMERS" by	

	referring the provisions of Para 4.3 of Accounting Standard-9, which is not correct since the provisions of Para 4.3 of Accounting Standard-9stipulates definition of revenue recognised under Proportionate Completion Method for rendering service which is as under : "Proportionate completion method is a method of accounting which recognises revenue in the statement of profit and loss proportionately with the degree of completion of services under a contract." In the instant matter, the Company is a real-estate company who is pursuing business of construction of buildings by accepting funds from the homebuyers, hence, the Company is not following the category of rendering service. Therefore, the deduction of Rs. 2,28,17,88,749/- from the list of unsecured creditors are showing it as Rs. 101.03 Crores instead of Rs.329.21 Crores is not tenable since it does not fall under the ambit of Para 4.3 of Accounting Standard-9. A clarification in this matter has been called from the Certifying Professional (Chartered Accountant Sh. Mohit P Jain) of the company as well as from the petitioner company vide this office letter no. 6/229/T-1/2019/3186- 3196 dated 28.08.2020 which is yet to be replied by them. To examine the serving of notices to unsecure creditors necessary documentary proof was also sought from the petitioner company, which is also not provided replied by the Petitioner Company. The copy of the letters issued to them are enclosed herewith as Annexure-C & Annexure- D respectively. Due to the above defects in the list of unsecured creditors and without receipt of any response thereto from the certifying professional and the petitioner company it is not possible in the part of the deponent to file our complete report. Hence it is prayed before the Hon'ble NCLT to direct the petitioner company as well as the Certifying Professional to furnish their reply to the letter dated 28.08.2020 issued to them as stated supra which can enable the deponent to file our final report in the form of supplementary affidavit. (ii) In their reply to the query regarding sold of land of the Transferor Company to the Transferee Company of Rs. 7.99 crores, it has been replied by the Petitioner company that the sale of land was a fixed asset to the Transferor Company and hence, such sale of	

	asset is not routed through the Profit & Loss Statement, which statement is not correct. Since the Transferor Company is a real-estate company, any gain from sale of real-estate activities has to be taken as revenue in the Profit &Loss Statement. Also for non-real-estate companies, any gain from sale of fixed assets has to be routed through Profit & Loss A/c which are earmarked under the Income Tax Act, 1961 for computation of capital gain purpose, hence, the reply of the Petitioner Company is incorrect. However, the Transferor Company is registered in the State of Uttar Pradesh, hence it does not fall under the purview of the Hon'ble Tribunal. The reply dated 27.07.2020 (received on 14.08.2020) of the Transferee Company along with the list of unsecured creditors submitted by them is enclosed herewith and marked as Annexure-E. Since the list of unsecured creditors is voluminous, only 2 pages numbering 1 and 63 from the list are annexed.	
	Additional observation of the Regional Director vide Affidavit dated 22.03.2022 after reply of the Petitioner Company In response to the observation raised by the Deponent in para-9 (1) of the affidavit affirmed on 19.10.2021 regarding list of unsecured creditors having value Rs. 329,21,35,332/- due to 1228 no. of unsecured creditors, which value was shown as Rs. 101,03,46,583/- in the list of unsecured creditors shown in the list submitted before the Hon'ble Tribunal. In this regard the petitioner company has stated in reply that they have issued notices to all the above 1228 no. of unsecured creditors in compliance with the provisions of the Section 231 of the Companies Act, 2013. Also as regards compliance of Accounting Standard - 9 i.e. Revenue Recognition, the petitioner company has replied that they have recognised their Revenue from operation by adopting different payment plans as agreed between the company and the customers (Home Buyers) based upon agreement entered with them. It is pertinent to state that by entering into agreement with individual customers (Home Buyers) to carry out piece-meal construction of the houses against which they have paid advances and on completion of the contract of piece meal construction they have recognised revenue based on proportionate construction of the contracted assignment by debiting the	

	advances received against such construction. By following the same principle, the Petitioner Company has considered the unsecured creditors as Rs. 101.03/- crore instead of Rs. 329.21/- crores since the variance amount of Rs. 228.18/- crore have been considered as revenue from operation in the respective years of the performance of the contract. To justify the performance of piece- meal contract, the Petitioner Company has submitted some sample copy of agreement as entered between the Home Buyers and the Company. The Petitioner Company has also stated that the proof of servicing notices to all the 1228 no. of unsecured creditors (to whom the amount of Rs. 329.21/- crores have been due) has been submitted to the Hon'ble Tribunal in the form of Affidavit of compliance (enclosing the original proof of service of notices seeking their no objection in favour of the scheme) of the 1 Motion order passed by the Hon'ble Tribunal and the above proof are available in the record of the Hon'ble Tribunal. In view of the above it is prayed before the Hon'ble Tribunal may consider the above only on the ground if the company has issued above notices to all the 1228 no. of unsecured creditors.	

11. Thus, the Regional Director (RD) in his report dated 19.10.2020 had made certain observations with regard to the proposed scheme of amalgamation among the Petitioner Company. The Regional Director vide his Additional Affidavit dated 22.03.2022 had stated its conditional no-objection to the proposed scheme of amalgamation provided notices to all the 1228 Unsecured Creditors were issued. In reply of the same, the Petitioner Company stated that an affidavit dated 10.05.2019 was filed, whereby, notices to all the 1228 Unsecured Creditors were issued vide courier service dated 29.04.2019 and the same was taken on record by this Tribunal vide its order dated 03.12.2019, whereby, unanimous approval of all the 1228 Unsecured Creditors was recorded. Hence, after the reply of the Petitioner Company in response to the observation made by the Regional Director, the RD has no objection according to the counsel for the Regional Director, as recorded in the order dated 27.07.2022, 03.10.2022 and 16.08.2023. Therefore, the observations made by the Regional Director stand clarified.

12. The Official Liquidator has filed its report dated 18.03.2020, wherein no specific objection has been raised against the approval of the Scheme. It is submitted in the report that the affairs of the transferor companies do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest.

13. The Income Tax Department has failed to file its report despite of providing several opportunities by this Tribunal. Therefore, the presumption under Section 230(5) of the Companies Act, 2013 is attracted wherein, it is provided that within a period of 30 days from the date of receipt of notice, if the authority fails to file its report, it shall be presumed that they have no representation to make on the proposal. Therefore, the Income Tax Department is set as ex-parte vide order dated 03.10.2022 passed by this Tribunal.

14. In this petition it has also been affirmed that there is no pending complaint against the scheme and no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Company.

15. Certificates of Statutory auditor of the Petitioner Company, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

16. The shareholders of the petitioner company are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and

their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

17. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Company including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner Company to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

18. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioner shall however remain bound to comply with the statutory requirements in accordance with the law.

(ii) Notwithstanding the above, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioner.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

19. This Tribunal further directs with respect to the Transferor company and the Transferee company, that:

(i) The proposed scheme has 01.04.2018 as the Appointed Date or such other date as may be directed by this Tribunal. Keeping in view the fact that Accounts would have been drawn for subsequent years, we

prescribe 01.04.2023 as the Appointed Date for the said scheme of Amalgamation.

(ii) Upon the sanction becoming effective from the appointed date i.e., 01.04.2023 as prescribed by this Tribunal, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Company, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Company shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Company, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Company, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. Further, the Petitioner Company shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Company shall be consolidated accordingly.

21. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

22. The petition stands **allowed** on the above terms.

Let copy of the order be served to the parties.

Sd/-	**Sd/-**
(RAHUL BHATNAGAR)	**(MAHENDRA KHANDELWAL)**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**